

**NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL,
RUMOMASI**

TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: SEVEN

CLASS: SS2

SUBJECT: Economics

TOPIC: Money & Banking (Deep)

Introduction

- Money is anything generally accepted as a medium of exchange. Banking is the business of holding and lending money; banks create money through credit creation — the ability to lend multiples of their deposits.

Functions of commercial banks

- Accepting deposits (current, savings, fixed); granting loans and overdrafts; facilitating payments (cheques, transfers, standing orders, POS); safeguarding valuables; providing foreign exchange services, advisory and agency services, and acting as trustees and executors.

Credit creation

- Banks keep only a fraction of deposits as reserves (the cash ratio) and lend the rest; the borrower's loan is deposited in another account, which is partly lent again — the money supply multiplies. Credit multiplier = $1 \div \text{cash ratio}$. If the ratio is 10%, ■100 of new deposits can create about ■1,000 of money. Limiting factors: the cash ratio, the public's demand for cash, the availability of good borrowers, and central bank policy.

Types of bank accounts

- Current account (cheques, no interest, any time withdrawal); savings account (interest, withdrawal limits); fixed deposit account (higher interest, agreed time); domiciliary account (foreign currency).

CLASS EVALUATION

1. State four functions of commercial banks.
2. Explain credit creation.
3. What is the credit multiplier when the cash ratio is 5%?
4. Distinguish between current and fixed deposit accounts.

**NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL,
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TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: EIGHT

CLASS: SS2

SUBJECT: Economics

TOPIC: The Central Bank & Monetary Policy

Introduction

- The Central Bank of Nigeria (CBN) is the apex bank: it controls the banking system and implements monetary policy — the regulation of the money supply and credit to achieve price stability, growth and full employment.

Functions of the CBN

- Issuing currency; banker to the government (holding its accounts, managing the national debt); banker to the banks (the lender of last resort, clearing cheques); controlling the money supply and credit; managing foreign exchange reserves; supervising banks (licensing, prudential guidelines); promoting financial stability and advising the government.

Instruments of monetary policy

- **Open market operations** — buying or selling government securities (selling reduces money supply); **bank rate (MPR)** — the rate at which the CBN lends to banks (raising it raises all rates and reduces lending); **cash reserve ratio** — the fraction of deposits banks must keep at the CBN; **special deposits** and **moral suasion**; **credit ceilings and selective controls**.

Monetary vs fiscal policy

- Monetary policy (the CBN) controls money and credit; fiscal policy (the government) uses taxation and public expenditure. They work together to stabilise the economy: expansionary policies (lower rates, more spending) fight recession; contractionary policies fight inflation.

CLASS EVALUATION

1. State four functions of the CBN.
2. Explain open market operations.
3. What is the effect of raising the cash reserve ratio?
4. Differentiate between monetary and fiscal policy.

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TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: NINE

CLASS: SS2

SUBJECT: Economics

TOPIC: Public Finance & Taxation

Introduction

- Public finance is the study of government revenue and expenditure — how the state raises money (taxes, fees, loans) and how it spends it on public goods and services.

Sources of government revenue

- **Tax revenue** — direct taxes (personal income tax, company tax, capital gains tax, petroleum profits tax) and indirect taxes (import duties, excise duties, VAT).
- **Non-tax revenue** — fees, licences, fines, rents, dividends from state enterprises, royalties.
- **Loans** — internal and external borrowing, and grants/aids. The budget (federal, state, local) is the plan of revenue and expenditure; a budget may be balanced, surplus or deficit.

Principles of a good tax system (canons of taxation)

- Equity (fairness — ability to pay); certainty (the amount and time are clear); convenience (easy to pay); economy (cheap to collect); flexibility; and neutrality (should not distort choices too much).

Effects of taxation

- It redistributes income (progressive taxes), raises revenue for services, regulates consumption (duties on cigarettes, alcohol), protects local industries (import duties) and can check inflation (higher taxes reduce spending) — but excessive taxation discourages work and investment.

CLASS EVALUATION

1. Define public finance.
2. Differentiate between direct and indirect taxes with examples.
3. State four canons of taxation.
4. What is a deficit budget?

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TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: TEN

CLASS: SS2

SUBJECT: Economics

TOPIC: International Trade

Introduction

- International trade is the exchange of goods and services between countries. It arises because countries differ in resources, climate, skills and technology — no country can produce everything efficiently.

Advantages and disadvantages

- Advantages: access to goods a country cannot produce; wider markets for exports; specialisation gains; transfer of technology; foreign exchange earnings; cheaper imports; and international cooperation.
- Disadvantages: dependence on other countries; dumping hurts local industries; the loss of local jobs; unfavourable terms of trade for primary producers; and the exposure to external shocks (price changes, wars, sanctions).

Terms of trade & the balance of trade

- Terms of trade = $\text{export prices} \div \text{import prices (index)}$. A country exporting raw materials at falling prices and importing manufactures at rising prices suffers deteriorating terms of trade. The **balance of trade** is the difference between the value of visible exports and imports; the **balance of payments** is broader, including services (invisible trade) and capital flows.

Trade policy

- Free trade (no restrictions) vs protection: tariffs (import duties), quotas (quantity limits), embargoes, subsidies to local producers and exchange controls — used to protect infant industries, correct balance-of-payments deficits and raise revenue.

CLASS EVALUATION

1. Define international trade.
2. State four advantages of trade between nations.
3. What are the terms of trade?
4. Differentiate between the balance of trade and the balance of payments.

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TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: ELEVEN

CLASS: SS2

SUBJECT: Economics

TOPIC: Balance of Payments & Exchange Rate

Introduction

- The balance of payments (BOP) is the record of all economic transactions between residents of a country and the rest of the world over a year — the current account (visible and invisible trade), the capital account (investment and loans) and official reserves.

Surplus and deficit

- A BOP surplus means receipts exceed payments (exports and capital inflows exceed imports and outflows); a deficit means the reverse. Deficits are financed from reserves, by borrowing, or by devaluation. Nigeria's BOP has swung with oil prices: oil exports dominate the current account while manufactured imports drain it.

The exchange rate

- The exchange rate is the price of one currency in terms of another (naira per dollar). It is determined by demand and supply in the market (a flexible/float system — the CBN now allows the naira to float) or fixed by the central bank. Depreciation/devaluation makes exports cheaper and imports dearer — it can improve the BOP if demand is elastic, but it raises the cost of imported fuel, machinery, food and debt servicing (imported inflation).

Correcting a persistent deficit

- Export promotion and diversification; import substitution; devaluation; tariffs and quotas; attracting foreign investment; reducing the importation of consumer goods; and prudent borrowing.

CLASS EVALUATION

1. Define the balance of payments.
2. What does a deficit mean?
3. Explain depreciation of the naira.
4. State three ways of correcting a BOP deficit.

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TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: TWELVE

CLASS: SS2

SUBJECT: Economics

TOPIC: Money Market & Capital Market

Introduction

- The financial market is divided into the money market (short-term funds) and the capital market (long-term funds). Both channel savings into investment.

The money market

- Instruments: treasury bills, treasury certificates, commercial papers, certificates of deposit, call money and the interbank market. Participants: the CBN, commercial banks, merchant banks, discount houses and the government. It provides short-term liquidity and is the channel of monetary policy.

The capital market

- Institutions: the Nigerian Exchange Group (NGX) — where shares and bonds are bought and sold; the Securities and Exchange Commission (SEC) — the regulator; issuing houses, stockbrokers, registrars and the Central Securities Clearing System. Instruments: ordinary shares, preference shares, debentures, government bonds and treasury bonds.

Functions and importance

- The market mobilises long-term savings for investment; gives companies access to capital (new issues); provides liquidity (shares can be sold); spreads risk; values companies (the share price); and is a barometer of the economy (the market index).

CLASS EVALUATION

1. Differentiate between the money market and the capital market.
2. Name three instruments of each market.
3. What is the role of the SEC?
4. State two functions of the stock exchange.